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The case for accountable lottery regulation in India

Urged to ban tobacco, Napoleon III, Emperor of France (1852-70), replied, “This vice brings in one hundred million francs in taxes every year. I will certainly forbid it at once – as soon as you can name a virtue that brings in as much revenue.” His uncle, Napoleon Bonaparte, is also credited with calling vices “very good patriots” (though the attribution is uncertain), while Ralph Waldo Emerson observed that “tobacco could cheerfully carry the load of armies”. Different voices, one hard-headed insight: vices are fiscally invaluable.

Yet, every age has moral crusaders whose puritanical zeal to ban tobacco, alcohol, or lotteries rests on the misconception – and conceit – that the state can extinguish persistent demand simply by declaring an activity unlawful. Pragmatists know better: a prohibition may be morally appealing yet administratively futile – or, worse, positively counterproductive.

The United States learnt this lesson the hard way. Following a sustained temperance campaign, it imposed prohibition through the Eighteenth Amendment and the Volstead Act, from 1920 to 1933. While suppressing legal supply, prohibition left demand intact, fuelling a lucrative black market controlled by violent syndicates such as Al Capone’s. Bootlegging corrupted public institutions, deprived governments of excise revenue and imposed heavy enforcement costs. The Twenty-first Amendment repealed prohibition, recognising that a regulated and taxed market could cause fewer harms than an unenforceable ban. States in India that have experimented with prohibition have faced similar challenges.

The argument for regulation

Lotteries are undoubtedly a vice, though arguably less pernicious than tobacco or alcohol. They disproportionately burden poorer households, encouraging them to stake scarce income on remote chances of reward. Rapid draws and instant games can encourage compulsive play and loss-chasing, while giant jackpots distort risk perception. Credit sales, opaque odds and manipulative advertising compound these harms. These are powerful arguments for stringent regulation, not necessarily prohibition.

Lottery bans can push players towards smuggled tickets, *makka, satta*, single-digit rackets and offshore portals. Operating through cash agents and mule accounts, these enterprises lack audits and age restrictions, secure prize funds and effective remedies against fraud. Governments lose lottery surpluses and GST revenue, while legitimate vendors, many of them poor or disabled, lose livelihoods and enforcement costs rise. In seeking to protect the vulnerable, the state may instead leave them at the mercy of unaccountable operators.



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Regulation, not prohibition, can curb lottery harms while preserving accountability

The state’s paternalism is not class-neutral. Affluent citizens can day-trade, use leveraged derivatives or speculate in crypto-assets despite the risk of ruinous losses. Securities trading involves skill and derivatives facilitate hedging and price discovery. Yet, the state does not test competence before admitting retail traders to these markets. The Securities and Exchange Board of India found that the vast majority of day traders and futures-and-options traders incurred losses. Financial markets are legal not because everyone acts wisely, but because risks are disclosed, intermediaries regulated and fraud punished, while adult choice is preserved. Lotteries can follow the same principle, with more stringent safeguards appropriate to games of chance.

The international norm

Lotteries are legal in nearly four-fifths of countries. Blanket prohibition survives mainly in countries enforcing strict Sharia-based gambling prohibitions, such as Saudi Arabia, Iran and Brunei, and in closed ideological regimes such as Cuba.

Across diverse political and economic systems, the norm is controlled legality, with lottery surpluses allocated transparently to education, health care, sports, welfare or infrastructure. Nearly 70% of lottery jurisdictions follow the public-operator model, in which a government body, statutory authority or State-owned company runs the lottery while private firms provide retail and technology services. Under the concession model, the State regulates the lottery but grants operating rights to a private concessionaire.

Federal countries generally entrust lotteries to their constituent units while permitting voluntary cooperation across borders. Lotteries operate in 45 of the 50 U.S. States and Washington DC; all 10 Canadian provinces and three territories; all six Australian States and both mainland territories; and all 16 German Länder. Authorisation in one jurisdiction does not confer the right to sell in another. Cross-border sales require the destination jurisdiction’s consent or participation in a cooperative arrangement. The U.S.’s Powerball, Canada’s Lotto 6/49, Australian lottery blocs and Germany’s DLTB allow participating jurisdictions to pool players and prizes while retaining regulatory autonomy.

A Lok Sabha reply of March 14, 2023, identified only nine States operating lotteries: Arunachal Pradesh, Goa, Kerala, Maharashtra, Mizoram, Nagaland, Punjab, Sikkim and West Bengal. Amid persistent State fiscal stress, the widespread preference for prohibition deserves reconsideration. Government-organised lotteries fall under Entry 40 of the Union List. The Lotteries (Regulation) Act, 1998, permits States to organise lotteries subject to Section 4 conditions,

while Sections 5 and 6 empower States and the Union Government, respectively, to prohibit lotteries that violate Sections 4 and 5.

Two necessary amendments

Settled Supreme Court jurisprudence treats gambling, including State-organised lotteries, as *res extra commercium*, outside the protections of Articles 19(1)(g) – fundamental right to trade – and 301 – freedom of trade across India. Section 5 of the Lotteries (Regulation) Act, 1998, reflects this principle by allowing States to prohibit outside lotteries. A parallel doctrine applies to potable alcohol, allowing States to restrict or prohibit out-of-State consignments.

Yet, in B.R. Enterprises vs State of U.P. (1999), the Court read Section 5 down: a State may exclude other States’ lotteries only by abandoning its own and becoming wholly lottery-free.

This all-or-nothing rule is difficult to justify. While a State directly oversees its own lottery administration, its oversight of another State’s operations within its territory is necessarily indirect, even as it bears the local enforcement burden. This disparity in regulatory control underpins the case for excluding other States’ lotteries. Faced with this revenue-regulation trade-off, Tamil Nadu (2003) and Karnataka (2007) chose total prohibition, thereby forfeiting the option of running accountable public lotteries of their own.

Parliament should amend Section 5 to clarify that the provision applies “whether or not the prohibiting State organises a lottery of its own”. Destination-State consent should be decisive, subject to uniform treatment: a State must either admit all outside lotteries or exclude them all.

Smaller States, especially in the northeast, may fear exclusion from larger markets, but compulsory access is no remedy. A new Section 4A should authorise two or more States to establish a common lottery by agreement, pooling players, prizes, technology and costs, as in successful multi-State lotteries elsewhere.

Transparent regulation offers a more accountable alternative to prohibition. Section 4 permits States to sell tickets directly or through distributors or agents. While marketing agents may provide guaranteed revenue, departmental operation can be more transparent and enable retail distribution through small vendors, persons with disabilities, women’s self-help groups and cooperatives, broadening livelihood opportunities and limiting intermediary capture.

Kerala follows this model. In FY 2023-24, it earned ₹2,883.80 crore – ₹1,129.71 crore in net lottery revenue (or surplus) and ₹1,754.09 crore in State GST. It channels lottery surpluses into health care and welfare. Kerala’s public-operator model offers a useful, though not exclusive, template for reform.

Recognising a regulated and taxed market
Stringent regulation, not necessarily prohibition
Across diverse political and economic system
Lotteries fall under Entry 40 of the Union List
“Lotteries organised by the Government of India or the Government of a State.
Entry 34 (State List) grants States authority over betting and gambling.
Safeguards appropriate to games of chance
Lotteries (Regulation) Act, 1998,
Section 4, 4A, 5, 6
Keralam’s public-operator model

Revisiting India's nuclear doctrine without revising it

India's nuclear doctrine has remained largely unchanged for over two decades, even as its security environment has shifted dramatically. Since its operationalisation in 2003, China's military rise has accelerated, Pakistan's nuclear posture has evolved, disruptive technologies have reshaped deterrence, and geopolitical competition has become more multipolar. Yet, the doctrine's core principles – credible minimum deterrence and a declared **No First Use (NFU)** posture – have endured, albeit with a specific provision retaining the option of nuclear retaliation following a major biological or chemical attack on India or Indian forces. The question is whether a framework crafted for the early 2000s remains fully aligned with the security challenges of the mid-2020s.

A doctrine for another era, strategic shifts
India's nuclear doctrine emerged from the distinct strategic context of the late 1990s. The 1998 Pokhran-II tests established India as a nuclear weapons state, while Kargil (1999) showed that nuclear deterrence did not rule out conventional war. The 1999 Draft Nuclear Doctrine and the Cabinet Committee on Security's January 4, 2003 decision sought to reconcile deterrence with restraint. The 2003 decision operationalised a posture based on credible minimum deterrence, No First Use (NFU) and massive retaliation to a nuclear attack, supported by a survivable second-strike capability and firm civilian control. Judged by its original objectives, the doctrine has provided continuity, predictability and strategic stability for more than two decades. The question is whether the assumptions underpinning it remain stable.

The strategic environment underpinning the framework has changed in three important ways. First, China and Pakistan have grown more strategically aligned. When the doctrine was



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India's nuclear doctrine faces new strategic, technological and geopolitical challenges

formulated, the two nuclear-armed neighbours posed distinct challenges; today, those challenges are increasingly interconnected. China has expanded and modernised its nuclear forces, strengthened military infrastructure along the Line of Actual Control and deepened defence cooperation with Pakistan. Pakistan has diversified its nuclear capabilities, including tactical nuclear weapons intended to offset India's conventional advantage. India must therefore account for the possibility that pressures from two closely aligned nuclear adversaries could interact during a crisis.

The second shift is technological. Artificial intelligence, cyber capabilities, space-based surveillance, hypersonic weapons and ballistic missile defence are reshaping deterrence by shortening decision-making timelines, increasing the vulnerability of command-and-control networks and complicating assumptions about assured retaliation. These technologies do not invalidate the doctrine's core principles, but they alter the environment in which they must operate. Nuclear deterrence ultimately depends on the alignment of doctrine, capability and survivability.

The third shift is geopolitical. The Indo-Pacific has become a key arena of great-power competition, while the international system has grown more multipolar. U.S.-China rivalry, closer China-Russia coordination and India's expanding partnerships have reshaped the security environment. Nuclear doctrine can no longer be viewed solely through bilateral deterrence; regional crises are increasingly shaped by wider geopolitical competition.

Review, not revision

Strategic doctrines are policy instruments, not immutable documents. In India's case, a review could examine emerging technologies, command-and-control resilience, second-strike

capabilities and the continuing relevance of existing concepts, including the doctrine's approach to retaliation.

The issue of massive retaliation deserves scrutiny. Pakistan's tactical nuclear weapons were intended to complicate India's response options below the level of strategic exchange. A review could assess whether India's declaratory posture provides sufficient deterrent clarity across nuclear contingencies, without necessarily changing its core principles.

There are, however, reasons for caution.

India's doctrine has reinforced its image as a restrained and responsible nuclear power while providing continuity in deterrence. Ambiguity over established principles, particularly NFU, could create uncertainty, encourage adversaries to recalibrate and complicate crisis management. The priority, therefore, should be to strengthen operational capabilities, modernise delivery systems and improve command-and-control resilience rather than reopen declaratory policy.

A review of NFU need not mean abandoning it. It could reaffirm its rationale, clarify its scope and ensure that supporting capabilities remain credible. Reviewing a doctrine is not the same as revising it.

Building credible capabilities

For India, any doctrinal review should also assess survivability, command and control, intelligence, early warning, cyber resilience and the nuclear triad. The aim should be to ensure that India's declared policy remains backed by credible capabilities in a changing strategic environment, while aligning nuclear policy with its broader diplomatic objectives and strategic autonomy.

Ultimately, a nuclear doctrine is an instrument of statecraft, not an immutable policy. India's commitment to restraint, credible deterrence and responsible nuclear stewardship remains an enduring strategic asset.

Credible minimum deterrence & No first use (NFU) policy
Massive retaliation to a nuclear attack
Survivable second strike capability,
Firm civilian control

Strategically aligned Pak-China
Technological shifts
Geopolitical, Indo-Pacific

AI, cyber capabilities,
hypersonic weapons,
space-based surveillance and missile defence
Command, control and early warning

Father in kitchen, girls playing drums: Andhra's bid to end gender stereotypes

Sreenivas Janyala
Hyderabad, September 25

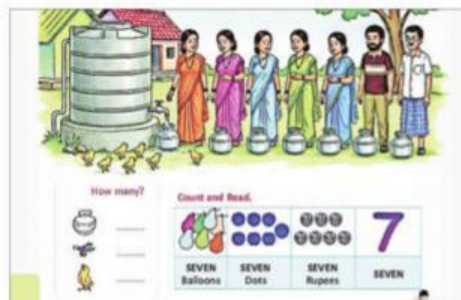
FATHER WORKING alongside the mother in the kitchen, girls on drums and violins during musical performances, and men and women both standing in line to collect water from a common public tap: These are some of the images that can be seen in the new textbooks for classes 1 and 2 in Andhra Pradesh as it attempts to eliminate gender stereotypes from a young age.

In the new books, the children will also be introduced to both "good" and "bad" sides of Artificial Intelligence.

"While past textbooks depicted household chores as being performed entirely by women, the new textbooks, introduced recently, changed this approach so that 50% of the household chores shown are performed by men and 50% by women," said an official.

"The aim is to avoid gender stereotyping from the first grade itself," said state IT and HRD minister N Lokesh Naidu.

During a chat organised by the Public Affairs Forum of India (PAFI) in Delhi on Thursday, Lokesh said that the state's ongoing reforms in school and higher education have a strong



This image shows both men and women standing in a queue to collect water from a public tap.

focus on value-based education, gender sensitivity, technology-enabled learning, curriculum reform and industry-linked skilling.

Other examples of gender-neutral roles in the textbook are of a woman selling vegetables, a man weaving a flower garland alongside a woman at a shop, and a man and a woman working in an agricultural field.

Listing other changes in the school system, Lokesh said primary schools are now implementing "No Bag Day" on Saturdays, which is reserved for value-based and practical learning. The activities include

lessons on managing family budgets and agricultural budgets, field exposure visits and an introduction to AI.

Lokesh said students are being introduced to both the positive and negative sides of AI so they can understand the technology and use it effectively in their chosen fields. The state government is working on a project of "gamifying" classrooms through technology.

Under the proposed approach, after every 45-minute class, students would watch a 60- or 90-second video summarising the lesson, followed by four to five questions. Using

clicker technology, students would actively participate in answering the questions, he said. "The data would feed into the state's Learning Management System (LMS), enabling the system to identify individual learning gaps and provide prescriptive homework and targeted learning content," he said.

"If a student is strong in mathematics but weak in another subject, the system would identify the specific gap and provide additional homework and learning material through the LEAP app, which is accessible to parents and teachers as well. This would

allow students to clearly understand the areas where they need improvement," he added.

The minister said the state government was also working to improve the teacher-taught ratio. "From just 3% schools having one teacher per class in 2024, the number has now increased to 33%," he said.

"The state recently completed a major teacher recruitment drive under which 16,000 teachers were recruited to achieve the objective of one teacher per class," Lokesh told *The Indian Express* on Friday. He said teacher recruitment is being undertaken every year.

Andhra Pradesh's new Class 1 and 2 textbooks

Focus on value-based education,

Gender sensitivity,

Gender Neutral roles

Technology enabled learning,

Curriculum reform,

Industry linked skilling

No Bag Day-Saturdays

Value based and practical learning

Lessons on managing family

budgets and agricultural budgets

Field exposure visits

Introduction to AI

Gamifying class rooms through technology

State's, Learning Management System (LMS)

NEP 2020's goals of foundational learning, equity and adequate

teacher-pupil ratios

One teacher per class

Tea production slips, shipments decline in January-July 2026

M. Soundariya Preetha
COIMBATORE

India's tea production declined 1.7% year-on-year (YoY) to 658.3 million kg during January-July this year, according to data shared by the United Planters' Association of Southern India (UPASI).

While the country's tea output in 2025 had grown 7.1% YoY, production during the first seven months of this year saw pressure across major tea-growing regions. Output in South India declined 4.4% and production in North India fell 0.9% largely due to cli-

matic conditions linked to changing weather patterns. India's tea exports shrank 16.11% YoY to 128.56 million kg between January and July this year.

Meanwhile, the Tea Board of India's newly launched Tea Mark certification programme has gained initial traction, with 25 producers and mini factories receiving certification so far. The initiative, introduced in July, aims to promote speciality teas produced by small tea growers and bought-leaf factories by enhancing quality standards, branding and market access.

India is the **second-largest producer of tea globally** Tea mark certification programme - Tea Board of India compliance with prescribed quality, origin-traceability and sustainability requirements.

Tea production declined- climatic conditions, changing weather patterns

United Planter's Association of southern India (UPASI)

Q.79. With reference to the “Tea Board” in India, consider the following statements:

- 1.The Tea Board is a statutory body.
- 2.It is a regulatory body attached to the Ministry of Agriculture and Farmers Welfare.
- 3.The Tea Board's Head Office is situated in Bengaluru.
- 4.The Board has overseas offices at Dubai and Moscow.

Which of the statements given above are correct?

- (a) 1 and 3
- (b) 2 and 4
- (c) 3 and 4
- (d) **1 and 4**

Answer: (d) 1 and 4

2022

Q. Consider the following States:

- 1.Andhra Pradesh
- 2.Kerala
- 3.Himachal Pradesh
- 4.Tripura

How many of the above are generally known as tea-producing States?

- (a) Only one State
- (b) Only two States
- (c) **Only three States**
- (d) All four States

Answer: (c) Only three States

**Explain the role of
geographical factors
towards the
development of
Ancient India.**

2023
10 marks
150 words

Thank you

“The price of success is daily effort”



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